

The Dangers of Sudden Cash Windfalls

MICHAEL SAM MADE sports history when the St. Louis Rams made him the first openly gay player to be drafted into the National Football League. If he is smart, he can join an even more elite fraternity: The small fraction of professional athletes who don't eventually go broke.

This used to be a dirty little secret of the sports industry: Professional athletes have been going bankrupt with alarming regularity for decades. In the early days of sports, the dollar amounts involved were relatively modest. But giant television contracts and endorsement deals brought bigger and bigger paydays. Rookie minimum salaries today are at levels that yesteryear's all-stars could only dream of.

Despite all of this increased cash—or, in some instances, because of it—more and more athletes are filing for bankruptcy. A 2009 article in *Sports Illustrated*, “How (and Why) Athletes Go Broke,”^{[280](#)} detailed the ugly truth: “Many NFL, NBA and Major League Baseball players have a penchant for losing most or all of their money. It doesn't matter how much they make. And the ways they blow it are strikingly similar.”

The data on professional athletes are startling: Shortly after they retire, nearly four of five NFL players are bankrupt or under financial stress, according to *Sports Illustrated*. Joblessness and divorce are the main reasons. It's marginally better in the National Basketball Association, where after retirement nearly two of three players are broke within five years.

It doesn't matter if you won the lottery or just signed a \$325 million Major League Baseball contract.^{[281](#)} As hard as it is for the uber wealthy, even with years of experience and (good) professional advice, to manage their assets, it is much harder for those who receive a sudden windfall. The combination